Quillwood Credit Partners
Origination and credit | Internal working paper

Indicative Term Sheet
Senior Secured Term Loan

Pinnacle Education Group Ltd: A$140M refinance facility

Prepared for the Board of Pinnacle Education Group Ltd
Prepared by Quillwood Credit Partners
23 October 2026
Version 1.0, non-binding and subject to credit approval
Reference: QCP-TS-2026-1023-PEG
Date: 23 October 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	Pinnacle Education Group Ltd
ABN	15 734 984 518
Registered office	Level 14, 200 Queen Street, Melbourne VIC 3000
Lender	Quillwood Credit Partners
Borrower's financial adviser	Aldwych Corporate Advisory Pty Ltd
Borrower's legal counsel	Fitzgerald Lowe Lawyers
Date of term sheet	23 October 2026

Transaction details

1. Purpose of this term sheet

This term sheet sets out the indicative terms on which Quillwood Credit Partners would consider providing a senior secured term loan to Pinnacle Education Group Ltd (the Borrower). It is non-binding and does not constitute an offer or commitment to lend. Any facility is subject to final credit approval, satisfactory due diligence, and execution of definitive documentation.

2. Borrower and background

The Borrower operates 11 independent K-12 schools, seven in Victoria and four in New South Wales. It enrolled 9,640 students for the 2026 school year against a combined capacity of 10,900 (occupancy of 88.4%) and employs 1,420 FTE staff. Nine campuses are held freehold and two are leased. For the year ended 30 June 2026 (FY26), revenue was A$312M and EBITDA was A$48M, a margin of 15.4%. Parent-funded fees contributed about 68% of revenue, Commonwealth and state recurrent funding about 29% and ancillary income about 3%.

The Borrower is a public company governed on listed-company lines, with an independent chair, a board audit and risk committee and continuous disclosure style reporting, although its shares are not quoted on a securities exchange. It has no private equity sponsor. It has no corporate or ownership connection to Pinnacle Early Learning, an unrelated early childhood operator.

3. Indicative facility terms

Term	Indicative position
Facility	Senior secured term loan (refinance)
Facility limit	A$140M, fully drawn at financial close
Purpose	Refinance existing bank debt of A$140M
Tenor	60 months from financial close
Margin	3M BBSW plus 3.25% p.a.
Upfront fee	1.50% (A$2.1M)
Interest	Payable quarterly
Repayment	1.0% p.a. scheduled amortisation (A$1.4M p.a.), balance of about A$133M as a bullet at maturity

Summary of indicative facility terms

4. Security

The facility would be secured by first registered mortgages over the nine freehold campuses and a general security deed over the Borrower and its material subsidiaries. Freehold property is valued at A$410M by Halvorsen Whitlam Valuers Pty Ltd (valuation dated 14 August 2026), giving a loan to value ratio (LVR) of 34.1% on the A$140M facility.

5. Key credit metrics

Metric	Post-refinance
Gross debt	A$140M
Cash	A$22M
Net debt	A$118M
Gross leverage (debt / EBITDA)	2.9x
Net leverage	2.5x
Interest cover (EBITDA / interest)	4.8x
LVR	34.1%

Quillwood based on FY26 EBITDA of A$48M

6. Indicative financial covenants

Covenant	Level	Test
Net leverage	Not more than 3.5x	Quarterly, rolling 12 months
Interest cover	Not less than 3.0x	Quarterly, rolling 12 months
LVR	Not more than 50%	On each valuation

Covenant levels remain subject to credit approval and financial model review

7. Capital works program

The Borrower has a committed campus works program of A$36M. The facility is a refinance only and does not provide capex funding. The program is expected to be met from existing cash and operating cash flow. Brennan Carlisle Quantity Surveyors Pty Ltd reported on the program on 21 August 2026.

8. Key risks for lender consideration

- Government funding: about 29% of revenue depends on Commonwealth and state recurrent funding.
- Enrolment and fee affordability, particularly at campuses below 85% capacity.
- Labour cost increases above fee growth compressing EBITDA margin.
- Concentration in Victoria, with seven of 11 schools.
- Cost overrun and timing risk on the A$36M works program.
- Child safety, regulatory and reputational events.
- Floating rate exposure and refinancing risk at maturity in 2031.

9. Reporting

- Audited annual financial statements (auditor: Tarrant Meyer Chartered Accountants) within 120 days of year end.
- Quarterly management accounts and covenant compliance certificate within 30 days of quarter end.
- Annual enrolment census by campus and capex program progress reports.
- Prompt notice of any regulatory action, child safety investigation or funding change.

10. Conditions precedent

- Final credit approval by Quillwood Credit Partners.
- Satisfactory legal, tax and insurance due diligence.

- Updated valuations acceptable to the Lender for each mortgaged campus.
- Confirmation of payout of existing bank debt and release of existing security.
- Executed facility and security documentation, with registration of all mortgages and security.
- No material adverse change since the management accounts dated 9 October 2026.

11. Basis of this term sheet

This term sheet is based on the information memorandum dated 20 July 2026, the valuation, the quantity surveyor's report, FY26 financial statements dated 4 September 2026 and management accounts dated 9 October 2026. The terms are indicative only and may change. Each party bears its own costs unless agreed otherwise.